



Overcoming Biases

THE PITFALLS

Premature Redemption

► Selling early due to temporary NAV dips, ignoring long-term certainty of the return

Performance Chasing

► Investing after yields have spiked, which means you've likely missed the optimal entry point

Market Timing

Missing opportunities while trying to perfectly predict interest rate movements

THE FIX

Hold-to-Maturity Mindset

► A TMF's mark-to-market volatility doesn't affect its final return

Goal-Based Investing

► Align your TMFs with specific financial milestones to focus on the long term

Tune Out the Noise

► Avoid reacting to daily news or rumours about interest rates. Trust the fund's long-term strategy

BEHAVIOURAL PITFALLS

TMFs are designed to be predictable but during periods of market volatility, investors may be tempted to cash out to protect their capital. This may convert temporary mark-to-market losses into permanent capital erosion. Another bias that can affect returns is overweighting recent performance, for example, entering after yields have spiked. Some investors also try to time interest rate movements.

To reduce these biases, the funds educate investors about why they should hold till maturity, explaining that everyday mark-to-market volatility doesn't affect final returns.

"Goal-based investing can align the fund's maturity with financial milestones. Finally, it's important to avoid reacting to noise, such as intra-quarter interest rate or credit events, unless the fundamentals of the investment have changed," says Basu.

PORTFOLIO FIT

Cash flow stability makes TMFs a good fit for retirees. "They help retirees invest in longer-term bonds and lock in yields without worrying about interest rate risks, ensuring returns closer to the target while providing liquidity," says Banka of GoalTeller.

TMFs with shorter maturities (three to five years) can provide predictable income aligned with cash flow needs and minimal reinvestment risk, while laddering can ensure regular payouts.

Target date funds, which automatically adjust asset allocation as you approach a specific goal, also work well for retirees. "These are ideal for investors who want a 'set it and forget it' approach to

yield but creates reinvestment uncertainty later, while too much in short maturities lowers yield but improves flexibility. Reinvestment risk means having to reinvest cash flow from an investment at lower rates.

A balanced ladder across tenors gives steady cash flows as well as higher yields, say experts. "For example, a retiree needing steady liquidity could ladder TMFs every two years. An HNI can tilt towards longer-dated TMFs for higher yields while opting for some short-

duration TMFs for opportunistic redeployment," says Basu.

However, recent tax changes have hurt TMFs. The government now taxes all debt fund profits at the income tax slab rate, no matter how long the holding period. "TMFs had a huge tax advantage with 20% long-term capital gains tax after indexation if held for over three years. The indexation benefit is gone now, making TMFs less attractive," says Vaibhav Porwal, Head of Investments, Dezerv, a wealth management platform.